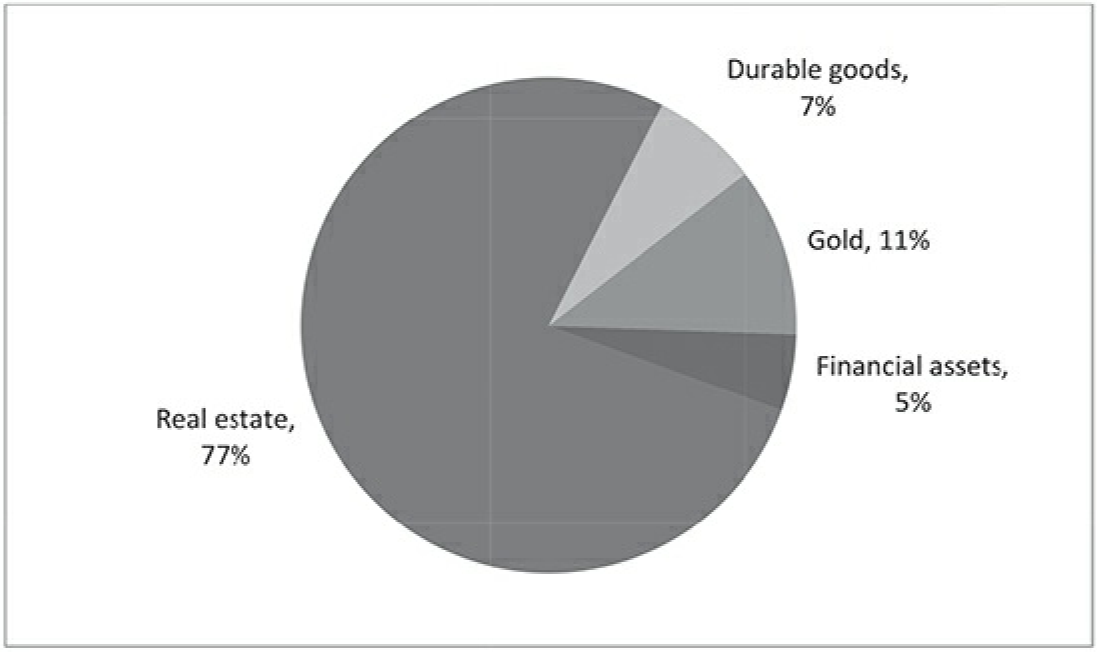
Exhibit 23: Allocation of household assets in India shows dismal holding in financial assets



Source: Household Finance Committee Report, 2017

As shared earlier, a distributor is a broker who sells a mutual fund scheme to the investor and gets commissions from the fund house in return. These commissions come in two forms: upfront and annual. In 2009, the SEBI banned upfront commissions which used to be the entire entry load of 2.25 per cent (which was collected by the fund house and passed on to the distributor). The annual commission (or 'trail' in industry jargon) was and remains typically at 1 per cent. The biggest distributors are the banks—both multinational and Indian—which use their branch networks as staging grounds to 'push' investment products. If you visit the branch of a typical private sector bank on a Saturday afternoon, you will see dozens of investors being subjected to sales pitches from their 'relationship managers' whose bonus depends on persuading the investor to buy the product.

Over time, however, a second category of equity funds with lower expenses have emerged. These funds do not need a fund manager and thus do